

Any stock or security has 2 types of values:

Market Value

Market value is the current price of any company's stock. It is the price quoted at which the stock is traded on CNBC and our stock market applications like Money Control.

Intrinsic Value

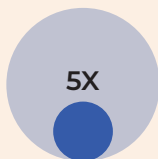
Intrinsic value is the real value of the company based on the quality & quantity of its earnings, its assets, and liabilities. It is something that analysts derive upon analysis.

Valuation is an Opinion

Two people can derive different valuations for the same organization.



Mr. X



Growth

Mr. X believes that Company A will grow at a rate of 5X in the coming years and **thus they assume that the true value of the stock is Rs 100.**



Mr. Y



Growth

Mr. Y believes that Company A will grow at a rate of 2X in the coming years and **thus he assumes that the true value of the stock is Rs 60.**

Valuation is an Art

Valuation is **a combination of both art and science.**

Although stocks and their price movement have basic science to them, identifying their intrinsic value can be challenging even for professionals as it requires a great deal of subjectivity. Two individuals may get different answers even if they follow similar strategies for valuation. It is the best guess about what a company may be worth.

Valuation is the art of understanding the real value or true value of the company. We will use our analysis and industry research, to obtain their true/intrinsic value. Once the true value is derived, we will use this groundwork to decide if we should buy or sell the stocks of a company or not at current prices.